B.I.”’,[27] the company had its origins in the Calcutta and Burmah Steam Navigation Company founded by the Scots William Mackinnon and Robert Mackenzie, both general merchants based in Calcutta. Landing the lucrative mail contract between Calcutta and Rangoon, the company was registered in Glasgow in 1856. (At the time of our story, its registered office had shifted to London.) The mail contract not only guaranteed revenue but also conferred prestige. In 1862, Mackinnon established the British India Steam Navigation Company which superseded the earlier company. During the Great Revolt of 1857, BI moved the armed forces, a function it continued to perform for the Empire well into the two world wars. Moving military troops ‘dovetailed nicely’ with carrying indentured labour in the Bay of Bengal area and even beyond, across the Pacific. As a result, ‘something like a partnership between Government and Company emerged’.[28] A modern historian of BI writes plainly that the company’s size and dominance rested on its close links with the colonial government of India. Such was its special status that BI was ‘a parastatal organisation, almost a branch of the Indian government’.[29] BI exploited its closeness to the government and destroyed competition, bringing ruin to its rivals.

Soon after its establishment, BI had negotiated a contract with the Government of India to service the coasts. Following this, the company expanded rapidly, opening ports such as Visakhapatnam, Kakinada and Masulipatnam. Within a few years, BI was not only serving Penang and Singapore, but also dozens of small ports along the Indian coast. As BI grew into the largest of British coastal shipping companies, by the end of the decade, it emerged as the foremost conveyor of mail, money, passengers and cargo around the coasts of India and its vicinity. It had created regular steam lines where none had existed before; its sailings were more frequent and, importantly, scheduled (read reliable). It offered new facilities at many ports on which the travelling public, merchants and local officials came to depend.[30]

The 1890s were difficult times, but BI weathered the storm that ruined many shipping firms across the globe. Its domination of the Indian coastal